

Byblos Bank Syria

Budget 2018 - 2020

Key Performance Indicators (Financial)

SYP 000's	Dec-15	Dec-16	Expected Dec-17	Budget Dec-18	Budgeted Growth in 2018 Vol	%
Total Assets	73,686,079	73,973,636	75,733,707	80,380,046	4,646,338	6.1%
Customers' Deposits	32,608,367	37,931,497	45,901,373	50,617,991	4,716,618	10.3%
Customer Loans (Net)	16,760,020	12,503,205	15,992,569	24,272,095	8,279,526	51.8%
Classified Loans (Net)	(2,647,272)	(3,635,044)	(2,963,127)	(3,003,584)	(40,457)	1.4%
Total Equity	14,465,574	21,374,822	20,226,271	20,380,168	153,897	0.8%
Net Customers' Loans / Assets	22.7%	16.9%	21.1%	30.2%		
Net Customers' Loans / Customers' Deposits	51.4%	33.0%	34.8%	48.0%		
Gross Classified Loans/ Total Customers' Loans	39.1%	46.9%	45.2%	37.4%		
Total Provisions/ Gross Customers' Loans	47.5%	59.0%	53.9%	44.3%		
Net Income	6,528,823	6,909,248	(1,148,551)	128,248	1,276,799	-111.2%
ROA	12.0%	9.6%	-1.5%	0.2%		
ROE	57.9%	37.0%	-5.5%	0.6%		
Cost-to-Income Ratio	59.1%	104.5%	150.4%	105.5%		
Number of employees	192	200	204	223		
Number of Branches	8	8	8	8		

Balance Sheet

Figures in SYP million	Actual Oct-2017	Expected Dec-2017	Budget Dec-18	Budget Dec-19	Budget Dec-20	Budgeted Growth Dec-18 Amount	Budgeted Growth Dec-18 Percentage
Assets							
Cash	6,404	6,141	5,961	5,861	5,861	(180)	-2.9%
Central Banks	22,132	20,439	16,925	16,376	16,781	(3,514)	-17.2%
Governmental Securities	0	0	0	0	0	0	
Fixed Income Securities	0	0	0	0	0	0	
Equity Investment	397	403	417	432	450	14	3.3%
Due from Banks	18,776	16,551	16,466	16,666	16,391	(85)	-0.5%
Placements with H.O., Sister & subsidiaries	14,791	14,464	14,455	14,455	14,455	(9)	-0.1%
Customer Loans	12,909	15,993	24,272	29,912	35,482	8,280	51.8%
Acceptance	0	0	0	0	0	0	
Fixed Assets	1,252	1,226	1,372	1,883	2,366	146	11.9%
Other Assets	1,382	517	513	518	523	(4)	-0.9%
Total Assets	**78,041**	**75,734**	**80,380**	**86,103**	**92,309**	**4,646**	**6.1%**
Liabilities & Equity							
Due to Banks & Financial Institutions	2,937	2,069	1,946	1,808	1,810	(123)	-6.0%
Customer Deposits	46,842	45,901	50,618	55,905	61,175	4,717	10.3%
Acceptances	0	0	0	0	0	0	
Other Liabilities	1,052	948	847	863	878	(101)	-10.6%
Provisions for Risk & Charges	6,326	6,589	6,589	6,589	6,589	0	0.0%
Total Equity	20,884	20,226	20,380	20,938	21,857	154	0.8%
Total Liabilities & Equity	**78,041**	**75,734**	**80,380**	**86,103**	**92,309**	**4,646**	**6.1%**

Assumptions for 2018 - 2020

- *The SYP/USD exchange rate is assumed to close at 498 at the end of Dec-17 down from 517.43 as at end Dec-16 and is expected to remain constant in 2018, 2019 and 2020.*
- *The number of employees is expected to be equal to 204 at the end Dec-17 and budgeted to 223 in 2018.*

Balance Sheet assumptions

- *Total assets are budgeted to increase in 2018 by 6.1% (+SYP 4.6 billion) to reach SYP 80.4 billion at the end of Dec-18.*

- *Gross performing LCY commercial loans are budgeted to increase by SYP 7.3 Billion (+41.5%) in 2018 and gross performing LCY retail loans are budgeted to increase by SYP 1 Billion (+91.7%) in 2018 mainly due to new housing and renovation loans. No additional loans are budgeted in FCY.*

- *LCY gross classified loans are expected to increase by 3.4% (+SYP 286.0 million) in 2018; the bank is expecting a rescheduling of SYP 306.5 million (5 clients) and a closing of SYP 249 million (4 clients) . All existing FCY loans are currently classified.*

Assumptions for 2018 - 2020

Balance Sheet assumptions (cont'd)

- *In 2018, the bank aims at increasing its customer deposits by 10.3% (+SYP 4.7 billion) to reach SYP 50.6 billion by increasing LCY deposits by 14.0% (+SYP 5.0 billion) to reach SYP 40.6 billion, while FCY deposits will decrease by 2.8% (-SYP 285 million) to reach SYP 10.0 billion .*

- *Deferred tax assets related to 2013 amounting to SYP 521 million, will be amortized during 2017 if the bank increases its capital and sells part of its structural position in USD which will incur a tax on the realized gain.*

Assumptions for 2018 - 2020

Fixed Assets

Fixed assets are budgeted to increase by 11.9% (+SYP 145.9 million) to reach SYP 1.4 billion mainly due to:

- *A new land with a warehouse for the archiving purposes amounting to SYP 125 million is budgeted to be purchased during 2018.*
- *Five ATMS are budgeted to be purchased in 2018.*
- *Cisco Jabber for video calls is budgeted to be purchased and installed in 2018 amounting to USD 10,000.*
- *CCTV (Security Cameras and recordings) and BMS (Building management system software) are budgeted to be purchased in the first quarter of 2018.*
- *AML and reporting softwares will be purchased at USD 25,000 each.*
- *Equipment of the Data recovery center (RDC) in Tartous was purchased and will be installed in December 2017. However, the depreciation will start in the beginning of 2018.*
- *It is worth mentioning that the office rented from ADIR Syria will be renovated starting December 2017.*
- *E-archiving software amounting to USD 35,000 will be purchased and installed during December 2017.*

Branches

- *If the Situation permits, Homs branch and University office in Daraa will reopen in 2018. However, no amount is booked in the budget.*
- *A new branch to be purchased during 2018 if the situation permits and the bank has enough extra liquidity. However, no amount is booked in the budget.*

Income Statement

Figures in SYP million	Actual Oct-2017	Expected Dec-2017	Budget Dec-18	Budget Dec-19	Budget Dec-20	Budgeted Growth Dec-18 Amount	Budgeted Growth Dec-18 Percentage
Profitability							
Income & Expenses							
Interest Income	2,413	2,949	3,780	4,862	5,810	830	28%
Interest Paid	1,393	1,762	2,122	2,425	2,718	361	20%
Net Interest Income Before Provisions	**1,020**	**1,188**	**1,657**	**2,436**	**3,092**	**470**	**40%**
Provision for doubtful loans	114	(628)	(244)	(200)	(200)	384	-61%
Net Interest Income After Provisions	**906**	**1,816**	**1,902**	**2,636**	**3,292**	**86**	**5%**
Commissions Received	168	205	246	283	325	41	20%
Commission Paid	39	1	1	1	1	(0)	-23%
Net commission Income	**129**	**203**	**245**	**282**	**324**	**42**	**20%**
FX Income (Net)	**(429)**	**(1,143)**	**59**	**70**	**85**	**1,202**	**-105%**
Net Other Operating Income (Expense)	**12**	**11**	**5**	**5**	**5**	**(6)**	**-53%**
Total Operating Income	**618**	**887**	**2,210**	**2,993**	**3,705**	**1,324**	**149%**
Expenses							
Salaries & employees benefits	1,018	1,221	1,165	1,346	1,559	(56)	-5%
Other operating expenses	748	865	778	790	781	(87)	-10%
Management Agreement	(0)	(0)	-	-	-	0	-100%
Depreciations	72	86	131	151	179	45	53%
Total Operating Expenses	**1,838**	**2,172**	**2,074**	**2,287**	**2,520**	**(98)**	**-4%**
Net Income before taxes	**(1,220)**	**(1,285)**	**136**	**707**	**1,186**	**1,421**	**-111%**
Provisions for Extraordinary Loss	(450)	(450)	-	-	-	450	-100%
General Provisions	(261)	337	-	-	-	(337)	-100%
Income from subsidiaries (Dividends)	18	24	26	28	30	2	8%
Taxes	0	-	34	177	296	34	
Net Income	**(491)**	**(1,149)**	**128**	**558**	**919**	**1,277**	**-111%**

Assumptions for 2018 - 2020

Income Statement assumptions

- *Net income is expected to decrease by 116.6% (-SYP 8,058 million) recording a loss of SYP 1,149.6 million at the end of Dec-17. The expected loss is mainly due to the appreciation of the Syrian pound from SYP/USD 517.43 as at end Dec-16 to an expected SYP/USD 498 as at end Dec-17 which will result an unrealized loss of SYP 1,191 million. It is worth mentioning that for every one SYP/USD decrease in rate the bank will have a loss of SYP 61 million. Net income is budgeted to increase in 2018 by 111.2% (+SYP 1,277 million) to reach SYP 128.2 million.*

- *Net interest SYP spread is budgeted to increase by 83 basis points to reach 1.97% in 2018 while Net FCY interest spread is budgeted to increase by 14 basis points to reach 0.39% at end of Dec-18.*

- *Interest rates on LCY commercial loans are budgeted to decrease by 50 basis points from the expected rate as at end 2017 to reach 14.75% for the next three years; while LCY retail loans are budgeted to decrease by 13 basis points to reach 18.25% for the next 3 years. The bank will not be having any interest on FCY loans since they are all classified.*

- *Interest rates on LCY time deposits are budgeted to decrease by 50 basis points to reach 10.1% during 2018 ,while those on FCY time deposits will decrease by 145 basis points to reach 0.25% in 2018.*

Assumptions for 2018 - 2020

Income Statement assumptions

- *ROA and ROE are budgeted at 0.16% and 0.63% respectively in 2018.*

- *Commissions from trade finance activities are budgeted to increase by 20% in 2018, while commission on banking services are budgeted to increase by 20.3%.*

Staff expenses

- *Staff expenses are budgeted to decrease by 4.6% to reach SYP 1,164.8 million mainly due to the decrease in expatriates salaries and the appreciation of the Syrian pound.*
- *Local employees' salaries are budgeted to increase by 20% in addition to a yearly bonus of 3 salaries on average.*
- *Scholarity indemnities are budgeted to increase by 30% in 2018.*

General expenses

- *General expenses are budgeted to decrease by 10.1% (-SYP 86.9 million) mainly due to the decrease in insurance expenses by 55% (-SYP 56.0 million) ,the decrease in premises expenses by 9.2% (-SYP 22.8 million) and the decrease in expertise expenses by 6.7% (-SYP 2.4 million).*

Main Financial Ratios

	Actual	Expected	Budget		
	Oct-2017	Dec-2017	Dec-18	Dec-19	Dec-20
ROA	-0.80%	-1.54%	0.16%	0.67%	1.03%
ROE	-2.76%	-5.52%	0.63%	2.70%	4.30%
Net Interest Margin	1.38%	1.64%	2.19%	3.02%	3.59%
Average Return on Loans (LCY)	10.27%	10.19%	10.91%	11.61%	12.02%
Average Return on Loans (FCY)	0.98%	0.72%	0.00%	0.00%	0.00%
Average Cost of Customers' Deposits (LCY)	5.68%	5.79%	5.81%	5.80%	5.75%
Average Cost of Customers' Deposits (FCY)	0.21%	0.19%	0.01%	0.01%	0.01%
Interest Rate Spread (LCY)	1.71%	1.14%	1.97%	3.27%	3.91%
Interest Rate Spread (FCY)	0.28%	0.25%	0.39%	0.39%	0.39%
Non Interest Income to Total Operating Income*	13.72%	17.77%	15.69%	12.79%	11.80%
Cost to Income Ratio*	155.50%	150.36%	105.49%	81.86%	71.88%
Loans to Customers Deposits (LCY)	34.22%	42.22%	57.40%	63.17%	67.59%
Loans to Customers Deposits (FCY)	4.41%	9.24%	9.51%	7.69%	5.78%
Loans to Customers Deposits (All CCY)	27.56%	34.84%	47.95%	53.50%	58.00%
Placements with banks to Customers Deposits	40.08%	36.06%	32.53%	29.81%	26.79%